

ASUMBI GIRLS' 2025 PREDICTION



CONFIDENTIAL KCSE EXAM



565/2

BUSINESS STUDIES

PAPER 2

TIME: 2½ HOURS

NAME.....

SCHOOL.....

SIGN.....

INDEX NO..... ADM NO.....

(Kenya Certificate of Secondary Education)

INSTRUCTIONS TO CANDIDATES

- a) Write your name and index number in the spaces provided above.*
- b) Sign and write the date of the examination in the spaces provided above.*
- c) This paper consists of 6 questions.*
- d) Answer any **five** questions in the spaces provided.*
- e) All questions carry equal marks*
- f) Candidates must answer the questions in English.*

For Examiner's Use Only

Question	Maximum score	Candidate's score
	20	
	20	
	20	
	20	
	20	
TOTAL		

1. (a) Highlight five ways in which Kenyan government can provide an enabling environment to the local traders.

(10 marks)

(b) Explain five problems encountered in calculating national income using the output approach

(10 marks)

2. (a) Explain five challenges that may be experienced by a new entrepreneur who has just established a business in Kenya.

(10 marks)

(b) Kigal Traders had the following balances as at 30th April 2023

Sh.

Sales	240,000	
Purchases	90,000	
Stock (30 th April 2023)		70,000
7 years bank loan	100,000	
General Expenses	12,000	
Interest on loan	25,000	
Debtors	25,000	
Cash at bank	20,000	
Creditors	75,000	
Cash at hand	10,000	
Premises	95,000	
Stock (2 nd April 2023)	160,000	

Calculate:

i) Mark-up

(3 marks)

ii) Margin

(2 marks)

iii) Rate of stock turn-over

(2 marks)

iv) Current ratio

(2 marks)

v) Net profit.

(1 marks)

3. (a) Explain five purposes of public finance in an economy.

(10 marks)

(b) Highlight five circumstances that allow the existence of a monopoly in an economy.

(10 marks)

4. (a) Other than monetary policies, explain five ways of controlling demand-pull inflation.

(10 marks)

(b) Explain five features of sole proprietorship form of business.

(10

marks)

5. (a) Outline five benefits that accrue to an organization that uses electronic filing.

(10 marks)

(b) The following are transactions of Epic traders for the month of June 2005.

June 1: Purchased stock for sh. 84,000 in cash and was given 2% cash discount.

June 2: Paid workers' wages by cheque shs. 21,750

June 3: Sold goods worth sh. 240,000 and received cash after allowing 4% cash discount.

June 7: Received sh. 400,000 by cheque from a debtor after 2% cash discount was allowed.

June 10: Took sh. 80,000 to bank from the business.

June 13: Took stock of goods worth sh. 2000 from the business for personal use.

June 18: Paid sh. 2000 cash as part of water bill leaving a balance of sh. 1750 to be settled at a later date.

June 24: Received a cheque from John a debtor worth sh. 60,000 in settlement of his debt of sh. 66000.

June 28: All the cash at bank was taken to the business for office use except sh. 250,000.

Required: Enter the above transactions in a duly balanced two-column cash book.

(10 marks)

6. (a) Explain five principles of insurance.

(10 marks)

(b) Highlight five factors that may lead to a surplus in the balance of payment.

(10

marks)